

RENANCE

UNIVERSITY OF PORT HARCOURT

ACC 121 — Past Questions & Materials

by Renance

Course: ACC 121

Institution: University of Port Harcourt

Papers in this pack: 1

Levels: 100

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Paper 1 of 1 — ACC 121 Principles of Financial Accounting II

Level 100 • Second Semester • PastQuestion

CITY CAMPUS, OFF ALARA STREET, YABA, LAGOS, NIGERIA.

TITLE OF EXAMINATION: B.Sc Accounting

FACULTY: Art, Management and Social Sciences

DEPARTMENT: Management Sciences SEMESTER: SECOND

SESSION: 2019/2020 CREDIT UNIT: 3

COURSE TITLE: Principle of Financial Accounting II COURSE CODE: ACC 121

INSTRUCTION: Answer all. TIME: 3 hours

SECTION A

1. Partnership business can simply be defined as _____

- A) The pulling of resources together by two or more like-minded people to establish a business for profit making.
- B) The coming together of old friends to cater for the need of the less privilege.
- C) The association of artisans.
- D) A cooperative society.

2. The following are the various types of partners except _____

- A) Active partners
- B) Dormant partners
- C) Disciplinary partners
- D) General partners

3. Partnership agreement covers all the following except _____

- A) Capital to be contributed by each partner
- B) Burial rites of a partner
- C) Procedure for retirement of an old partner
- D) Salaries and allowances to be paid to partners

4. Partnership Act was enacted which year _____

- A) 1890
- B) 1891
- C) 1892
- D) 1895

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5. Two methods by which Partner's capital account can be recorded are one of the following _____ and _____

- A) Fluctuating and Fixed Capital method
- B) Rotational and Non-rotational method
- C) Complete and Incomplete method
- D) Differential and Non-differential method

6. Business entity concept recognizes a company as _____ and _____

- A) An artificial or a legal person

- B) An artificial and an illegal person
C) A natural and dependent person
D) A natural and independent person
7. Types of companies are the following except _____
A) Private Company
B) Public company
C) Limited liability Company
D) Company of friends
8. One of the following is not an example of types of preference shares _____ and _____
A) Redeemable and Irredeemable preference shares
B) Preferable and non-preferable preference shares
C) Convertible and non-convertible preference shares
D) Cumulative and non-cumulative preference shares
9. Example of Quoted companies are the following except _____
A) Nestle Nigeria Limited
B) Topson Bakery
C) Cadbury Nigeria Limited
D) Exxonmobil Unlimited
10. Capital Structure refers to _____
A) The kinds of securities and the proportionate amount that make up capitalization
B) Debt
C) Equities
D) Dividends
11. Lubricants, loose tools are an example of _____
A) Indirect assets
B) Indirect materials
C) Overheads
D) Direct assets
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12. Prime cost plus overhead cost equals _____
A) Transfer price
B) Production cost
C) Revenue
D) Total expenses
- 13 Depreciation on factory machines are charged to _____
A) Manufacturing account
B) Income statement
C) Indirect expenses
D) Overheads
14. Profit for the year is #40,000, partners' salaries are #12,000 and interest on Capital is #16,000. The residual profit _____

- A) #1,200
B) #12,000
C) #13,000
D) #14,000
15. The owners of a limited liability company are _____
A) Managers
B) Stakeholders
C) Shareholders
D) Society
16. Another name for a dormant partner is _____
A) General partner
B) Strategic partner
C) Sleeping partner
D) Active partner
17. A partner whose liability is unlimited is called _____
A) Active partner
B) General partner
C) Professional partner
D) Stupid partner
18. Terms and conditions or rules guiding partnerships is contained in _____
A) Partnership deed
B) Prospectus
C) Constitution of the federal republic of Nigeria
D) Partnership Act 1890

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19. A limited liability Company can be established via which of the following _____
A) Merger and Acquisition
B) Conversion of existing sole proprietorship or partnership to limited liability company
C) Registering with a trade union or Association
D) Getting the support of the people
20. A firm's raw material at 1 May 2014 is \$376, purchases of raw material \$58,748, closing stock of raw material at 30 April 2015 is \$297, while direct wages is \$27,380. What is the value for the prime cost _____
A) \$86,207
B) \$20,000
C) \$84,500
D) \$101,260

SECTION B

Questions 1 or 2 is compulsory, then attempt any other two.

1. Sanjay and Sudhir are partners sharing profit and losses in the ratio 3:2. The Trial Balance of the firm on 31st March, 2010 was as follows:

Trial Balance as on 31st March, 2010

Debit Balances Amt. (N)	Credit Balances Amt. (N)
Opening stock 20,000	Capital A/cs - Sanjay 40,000
Sudhir 30,000	
Purchases 30,000	Sales 70,000
Debtors 12,000	Sundry Creditors 21,000
Wages 5,000	Bills payable 20,000
Salaries 10,000	Discount 5,000
Land and Building 30,000	Outstanding Rent 1,500
Plant and Machinery 25,000	
Furniture 16,000	
Advertisement (for 2 years) 6,000	
Bills Receivable 8,000	
Insurance 2,000	
Drawings - Sanjay 2,000	
Sudhir 3,000	
Cash in hand 5,500	
Rent 10,000	
Power and fuel 3,000	
187,500	187,500

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Necessary Adjustment:

- 1) Stock on hand on 31st March, 2010 was at N 35,000.
 - 2) Write off N 2,000, for further Bad debts and maintain provision at 5% on debtors.
 - 3) Depreciate Land and Building at 5% and Machinery at 10%.
 - 4) Outstanding expenses were wages N 2,000 and salary N 1,000.
 - 5) Credit purchases amounted to N 4,000 were not recorded in the books of account.
 - 6) Provide interest on Partners Capital at 5% p.a. (20 marks)
2. From the following information prepare the manufacturing, trading, profit and loss accounts for the year ending 31 December 1996 and the balance sheet as at 31 December 1996 for the firm of J. Jones.

N N

Purchase of raw materials 258,000

Fuel and light 21,000

Administration salaries 17,000

Factory wages 59,000

Carriage outwards 4,000

Rent and rates 21,000

Sales 482,000

Returns inward 7,000

General office expenses 9,000

Repairs to plant and machinery 9,000

Stock at 1 January 1996

Raw materials 21,000

Work in progress 14,000

Finished goods 23,000

Sundry creditors 37,000

Capital account 457,000

Freehold premises 410,000

Plant and machinery 80,000

Debtors 20,000

Provision for depreciation on plant and

Machinery at 1 January 1996 8,000

Cash in hand 11,000

984,000 984,000

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Make provision for the following:

(a) Stock in hand at 31 December 19X6

Raw materials ₹25,000

Work in progress 11,000

Finished goods 26,000

(b) Depreciation of 10% on plant and machinery – straight line method

(c) 80% of fuel and light and 75% of rent and rates to be charged to manufacturing

(d) Doubtful debts provision – 5% of sundry debtors

(e) ₹4,000 outstanding for fuel and light

(f) Rent and rates paid in advance – ₹5,000

(g) Market value of finished goods – ₹382,000 (20 marks).

3a. list and explain two ways by which a new company can be formed (3 marks)

3b. list and explain 2 types of companies and distinguish between them (12 marks).

4a. Explain briefly the types of shares a company can issue (3 marks)

4b. Mention at least 6 features of company shares (12 marks).

5a. Differentiate between Partnership and Joint venture (3marks)

5b. Mention the 6 types of partners (12 marks).

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